



October 21, 2022

Mr. William Cody

Secretary

Federal Maritime Commission

800 North Capitol Street, NW

Washington, DC 20573-0001

Sent via email to secretary@fmc.gov

RE: Docket No. 22-24, Definition of Unreasonable Refusal to Deal or Negotiate

(Federal Register Vol. 87, No. 182, September 21, 2022)

The CMA CGM Group is a global player in sea, land, air and logistics solutions and is currently the third largest container carrier in the world. The company serves more than 420 ports and has over 580 ships, a network of over 400 offices and 750 warehouses, and more than 150,000 team members worldwide (including over 22,000 in the United States). CMA CGM transported 22 million TEU containers in 2021 and also holds the distinction of being the largest container carrier in the Transpacific trade and America's largest export carrier. We operate in a very competitive marketplace where the number of carrier participants in the Transpacific trade has increased.

In the wake of unprecedented challenges caused by the COVID-19 pandemic, CMA CGM took proactive steps to address historic supply chain disruptions and to meet the unprecedented economic challenges arising from significantly increased American consumer demand. These variables far overwhelmed the country's supply chain capacity and the movement of goods across the entire supply chain, not just maritime operators. The Federal Maritime Commission (FMC) should consider the concerns and obligations of all stakeholders responsible for a functioning and operational supply chain.

One of CMA CGM's strongest assets is our agility. We act quickly to work with customers and stakeholders to innovate solutions and solve problems that improve the fluidity and velocity of the United States' supply chain.

We applaud the FMC's proactiveness to address challenges, including numerous initiatives already undertaken by the Commission to improve supply chain fluidity. However, we ask the FMC to carefully consider the potential unintended impacts that may result from defining key terms such as "unreasonable refusal to deal or negotiate with respect to vessel space accommodations provided by an ocean common carrier."

We agree with the Commission that the reasonableness of any particular decision must be determined on a case-by-case basis and that there is no “one-size-fits-all” approach. Any decisions made by CMA CGM as an ocean carrier regarding vessel space accommodations are necessarily case by case, in response to our customers, the products being transported, the particularities of a trade lane and its intended ports of call.

These decisions take into account ever-changing global and local dynamics along with the unique factors of each situation. For example, distinct conditions impacting liner services covering U.S. exports to the Middle East may vary significantly from the conditions impacting U.S. exports to Asia. The strategy for each export trade lane varies according to market practicalities and evolves continuously as circumstances develop. As an industry leader in supporting U.S. exports, CMA CGM emphasizes the importance of our industry maintaining flexibility to respond to evolving market practicalities and conditions. The Commission’s proposed requirements risk unintentionally restricting flexibility that benefits U.S. exporters and importers by mandating strict adherence to a set of static documented criteria.

An ocean carrier is engaged in moving both imports and exports simultaneously, and the two are inextricably linked. Singularly focusing on an export strategy will not solve the U.S. supply chain problems. U.S. imports and exports are equally important to ensuring commercial viability and cargo fluidity. CMA CGM has placed a concerted emphasis on supporting exports from the United States, successfully growing its support for U.S. exports 55% over the past three years. As the forces of supply and demand dictate market conditions, we are constantly adjusting business strategies and pursuits to meet the market.

We believe that negotiations with our customers (i.e., shippers) require both parties to participate in good faith. We strongly emphasize that there are factors beyond characteristics of the cargo or vessel which impact considerations for working with customers. For example, the Notice of Proposed Rulemaking (NPRM) correctly notes that considerations such as profitability and compatibility with a carrier’s business strategies should generally be considered as reasonable.

Both profitability and business strategies may be heavily impacted by considerations such as whether a particular customer has a history of showing up with cargo, versus placing bookings for vessel space which they fail to fulfill, resulting in “fall down” or a track record of nonpayment. By nature, the terms negotiated between a particular shipper and an ocean carrier will vary from those negotiated with another shipper. It is vital to ensure that the benefits to both U.S. exporters and importers resulting from the freedom to negotiate service contracts provided by the Ocean Shipping Reform Act of 1998 remain unimpeded.

Furthermore, FMC regulation should not require companies to set aside their corporate values. As part of our unwavering commitment towards more sustainable trade, CMA CGM announced that as of June 1, 2022, we will no longer transport plastic waste on board any of our ships to help protect the oceans and its associated biodiversity. Around 10 million tons of plastic waste end up in the sea annually, and unless action is taken, that figure is expected to triple over the next 20 years causing irreversible damage to marine ecosystems, fauna and flora.

We do not believe that CMA CGM should be required to export plastic scrap to address the decline in the U.S. plastic scrap exports; we should be able to exercise independent business decisions to refuse plastic scrap without concerns that our business decision to not accept these bookings will be deemed unreasonable. This tenet should hold true for any particular product segment that a carrier exercises its legitimate business discretion not to engage in, including but not limited to hazardous, scrap and environmentally sensitive cargoes.

Finally, CMA CGM is concerned with the burden shift the Commission is considering as part of this NPRM. While Congress clearly supported and mandated a burden shift mechanism for charge complaints in the Ocean Shipping Reform Act of 2022, notably, it did not include similar language in its direction that the Commission initiate a rulemaking to define unreasonable refusal to deal or negotiate with respect to

vessel space. Congress clearly considered a burden shifting mechanism as appropriate for charge complaints and demonstrated its knowledge of how to implement such a procedure.

Ocean carriers should not solely bear the burden of providing relevant evidence surrounding any claims of unreasonable refusal to deal or negotiate with respect to vessel space. The burden should be shared equally among stakeholders, with each party responsible for providing evidence in its possession or control that supports its position. For example, if a shipper claims to have approached CMA CGM for vessel space and been wrongfully refused, then they should bear the burden of providing evidence to support their claim. We firmly believe that all stakeholders across the supply chain must be engaged and share collective responsibility for providing relevant evidence impacting each negotiation or dealing relating to vessel space.

We hope that the FMC will preserve the ability of ocean carriers to pursue strategic business interests and goals and consider those legitimate business strategy decisions in considering the potential impact of this NPRM.

Sincerely,



Edward W. Aldridge

President

CMA CGM (America) LLC, as agent for CMA CGM S.A.